liberalized. The federal budget deficit was replaced by a surplus, and real disposable income soared by a compound growth rate of more than 10 percent.[132] Russia's growth also benefited from rising oil prices, but sound macroeconomic policies and the strengthening of market institutions undeniably put Russia in a stronger position before the 2008–2009 global economic crisis than it had been in 1998 or 1991. Russia had built a sturdy economy during the heyday of high growth from 1999 to 2007, as well as a foreign currency reserve war chest that peaked in 2008 at just below $600 billion. That sum fell significantly during the 2008–2009 crisis, and then in 2014–2015, as the Central Bank of Russia attempted to defend the ruble until finally going over to a free-floating exchange rate regime in 2015. At the end of 2015, Russia's international reserves stood at $368 billion, and it reached close to $400 billion in September 2016.[133]

The Russian government was able to bail out stressed companies with its war chest of reserves in the wake of the global financial crisis in 2008–2009, just as it did again in 2014, when oil prices collapsed and sanctions were imposed. However, in the intervening years, the state shifted toward greater control and renationalization of many of the largest private companies, particularly in oil production, where government control rose from 11 percent in 2000 to 55 percent in 2014, and in the overall economy to more than 50 percent. Public-sector employment similarly rose to 28 percent of the workforce in 2012, as the number of new private-sector jobs stagnated.[134] Most liberal Russian economists attribute Russia's economic stagnation, which predates sanctions and the decline in oil prices, to its obsolete growth model and low investment.[135] They fear that the economic shocks and crisis are not severe enough to provoke Putin to embrace the needed reforms of Russia's institutions. As Gref remarked, "human nature is quite resistant to change, and changes start when the money runs out."[136]

Autonomy as a Means of Withstanding the Impact of Sanctions

Moscow engages with the BRICS to enhance its financial autonomy, through which Russia can withstand the impact of sanctions. Although Putin has conceded that sanctions have hurt Russia's economy,[137] President Obama's 2015 speech deriding Russia as "isolated with its economy in tatters" was a gross exaggeration. Estimates of the impact of the sanctions on the Russian economy vary, but a consensus suggests that the economy